

July 2026

Investment Report

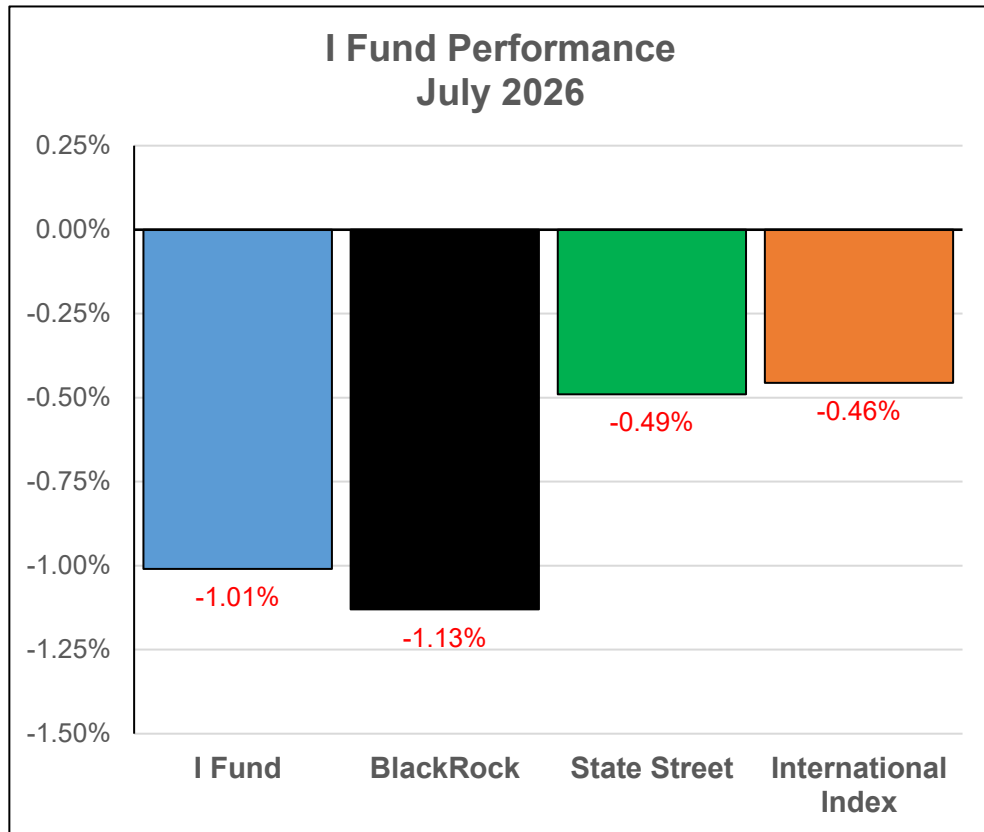
Presented By

Mike Jerue, Chief Investment Officer

August 25, 2026

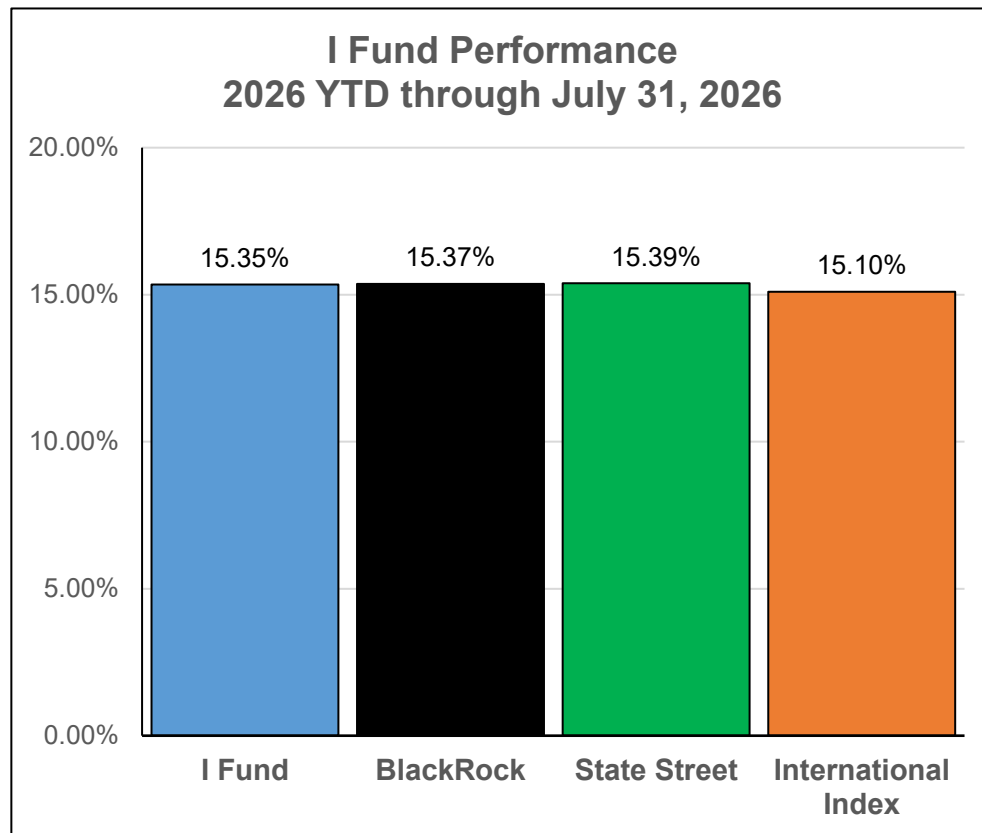
July 2026 Asset Manager Performance

- **F, C, and S Funds:** BlackRock and State Street delivered returns in line with the benchmarks
- **I Fund:**
 - BlackRock lagged the International Index by 0.68%, primarily due to fair value pricing
 - State Street's return was in line with the International Index



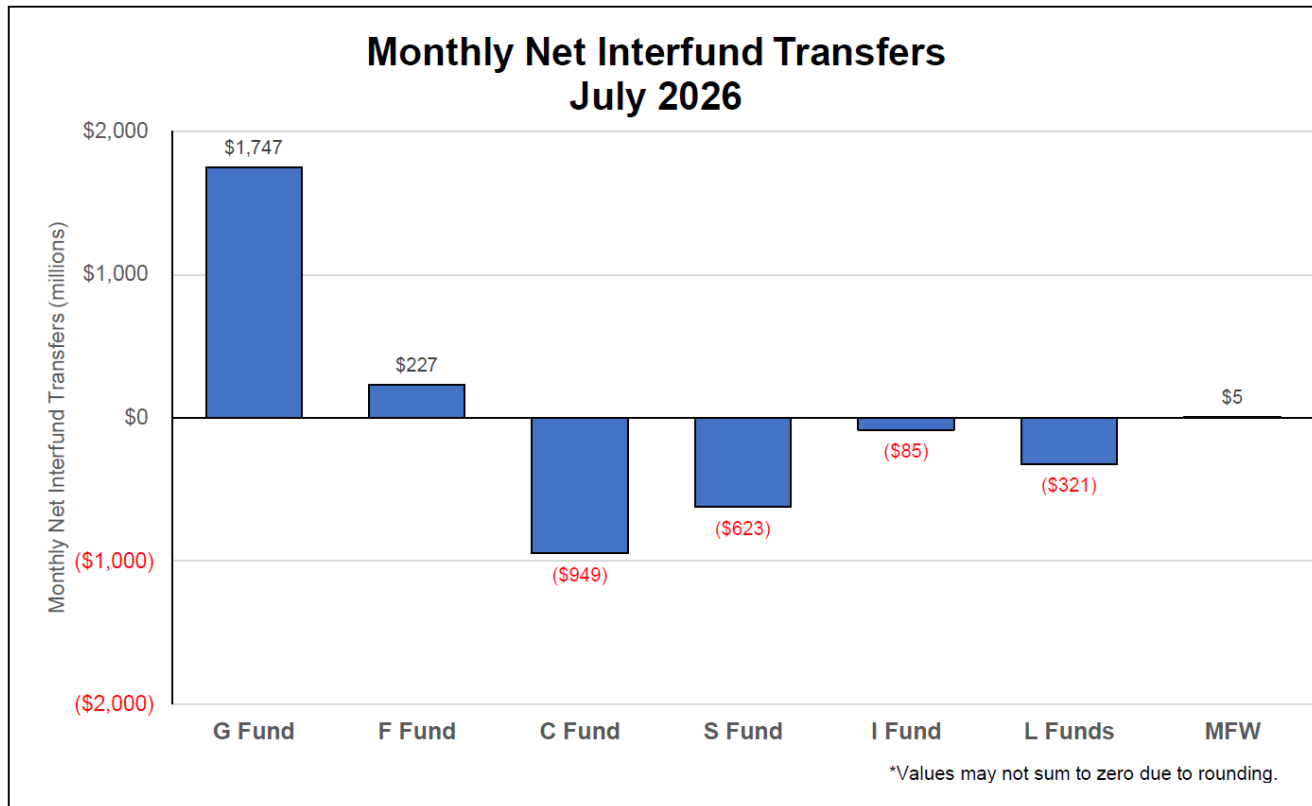
2026 Year-to-Date I Fund Performance

Through July 31, both managers were ahead of the International Index, primarily due to tax advantage



July 2026 Investment Highlights

Approximately 2% of participants moved assets between funds



Questions





FEDERAL RETIREMENT THRIFT INVESTMENT BOARD
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES,
AND OLIVARES

FROM: Mike Jerue, Chief Investment Officer
DATE: August 25, 2026
SUBJECT: July 2026 Investment Program Review

INTRODUCTION

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

RETURNS AND BENCHMARK DIFFERENCES

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

July 2026 Returns and Benchmark Differences

		<u>Fixed Income</u> <u>(F Fund)</u>	<u>Large Cap</u> <u>(C Fund)</u>	<u>Small Mid Cap</u> <u>(S Fund)</u>	<u>International</u> <u>(I Fund)</u>
Return	Index	-1.30%	-0.06%	-4.16%	-0.46%
	BlackRock	-1.29%	-0.07%	-4.12%	-1.13%
	State Street	-1.29%	-0.06%	-4.12%	-0.49%
	TSP Fund (Net)	-1.29%	-0.07%	-4.12%	-1.01%
Benchmark Difference	BlackRock	0.01%	0.00%	0.04%	-0.68%
	State Street	0.01%	0.00%	0.04%	-0.03%
	TSP Fund	0.01%	-0.01%	0.04%	-0.55%

BlackRock's performance for the F and C Funds was in line with the Funds' respective indices for the month. For the S Fund, BlackRock was ahead of the Small Mid Cap Index by 4 basis points, primarily due to securities lending. Its performance for the I Fund lagged the International Index by 68 basis points, primarily due to fair value pricing.

State Street's performance for the F and C Funds was in line with the Funds' respective indices for the month. For the S Fund, State Street was ahead of the Small Mid Cap Index by 4 basis points, primarily due to the beneficial effect of a cash-and-stock transaction in which one company within the index acquired another. Its performance for the I Fund lagged the International Index by 3 basis points, primarily due to futures mistracking.

2026 YTD Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	-0.69%	10.14%	13.34%	15.10%
	BlackRock	-0.55%	10.14%	13.54%	15.37%
	State Street	-0.52%	10.14%	13.52%	15.39%
	TSP Fund (Net)	-0.56%	10.13%	13.52%	15.35%
Benchmark Difference	BlackRock	0.14%	0.01%	0.20%	0.27%
	State Street	0.17%	0.00%	0.18%	0.29%
	TSP Fund	0.13%	-0.01%	0.19%	0.25%

Year-to-date, BlackRock's performance for the F Fund was ahead of the Fixed Income Index by 14 basis points, primarily due to a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, BlackRock was ahead of the Small Mid Cap Index by 20 basis points, primarily due to securities lending. Its performance for the I Fund exceeded the International Index by 27 basis points, primarily due to tax advantage.

Year-to-date, State Street's performance for the F Fund was ahead of the Fixed Income Index by 17 basis points, primarily due to a difference in the timing of pricing by the index provider and by State Street on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 18 basis points, primarily due to securities sampling and securities lending. Its performance for the I Fund exceeded the International Index by 29 basis points, primarily due to tax advantage.

Annualized Net Returns as of July 31, 2026

	1-Year	3-Year	5-Year	10-Year
G Fund	4.42%	4.46%	3.85%	2.92%

	1-Year	3-Year	5-Year	10-Year
F Fund	2.74%	3.73%	-0.34%	1.44%
Bloomberg US Agg Bond Index	2.71%	3.73%	-0.40%	1.35%
Benchmark Difference	0.03%	0.00%	0.06%	0.09%

	1-Year	3-Year	5-Year	10-Year
C Fund	19.54%	19.29%	12.83%	15.05%
S&P 500 Index	19.56%	19.32%	12.86%	15.08%
Benchmark Difference	-0.02%	-0.04%	-0.03%	-0.03%

	1-Year	3-Year	5-Year	10-Year
S Fund	20.78%	15.80%	6.14%	11.57%
Dow Jones US Completion TSM Index	20.49%	15.63%	5.94%	11.42%
Benchmark Difference	0.28%	0.17%	0.20%	0.15%

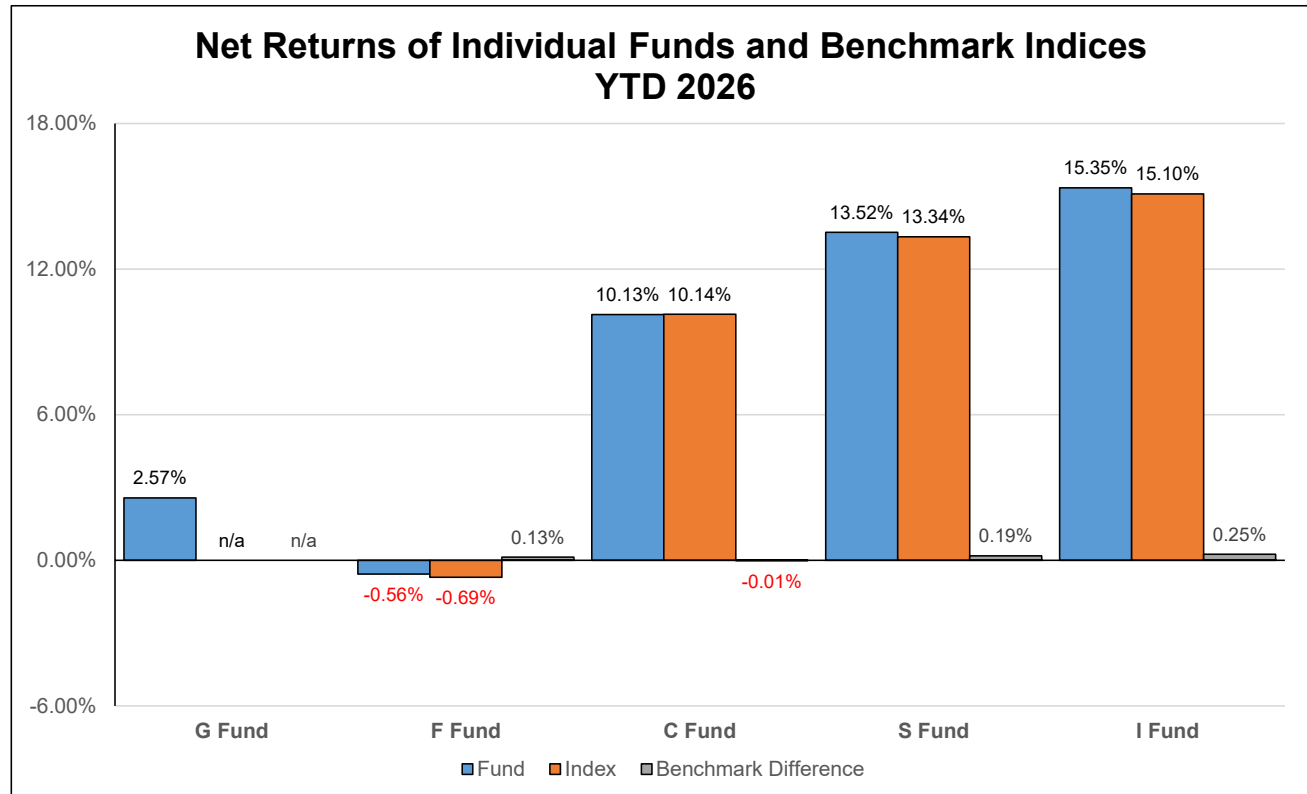
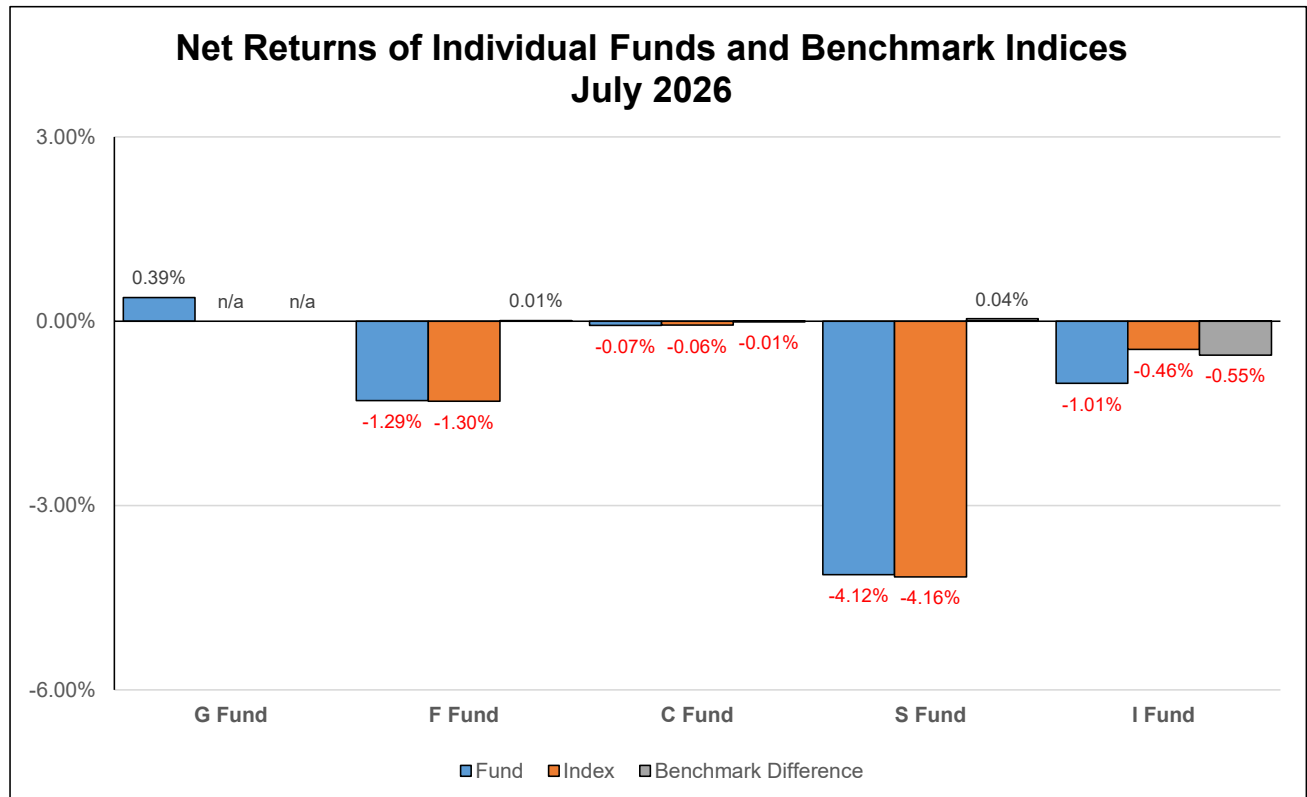
	1-Year	3-Year	5-Year	10-Year
I Fund	30.72%	17.82%	10.51%	10.10%
International Index*	29.87%	17.54%	10.20%	9.78%
Benchmark Difference	0.85%	0.28%	0.31%	0.33%

* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

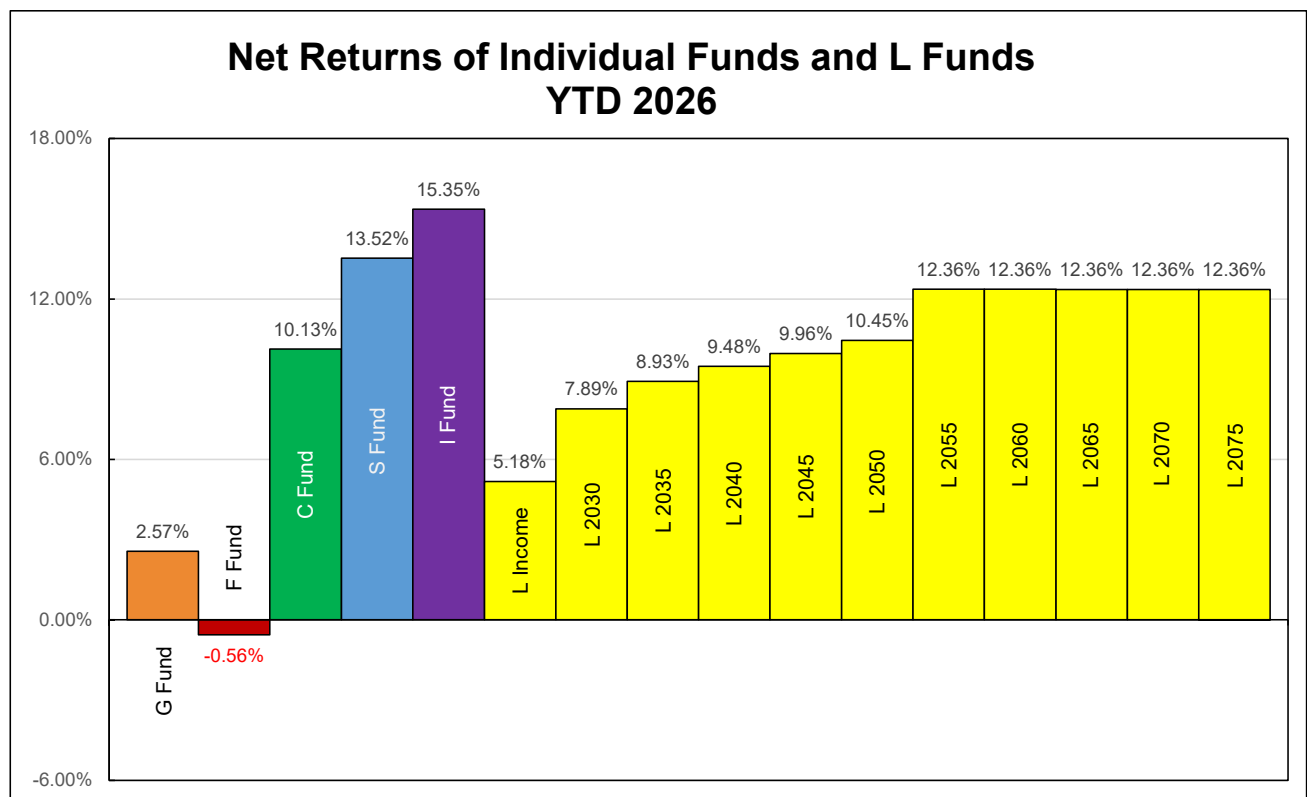
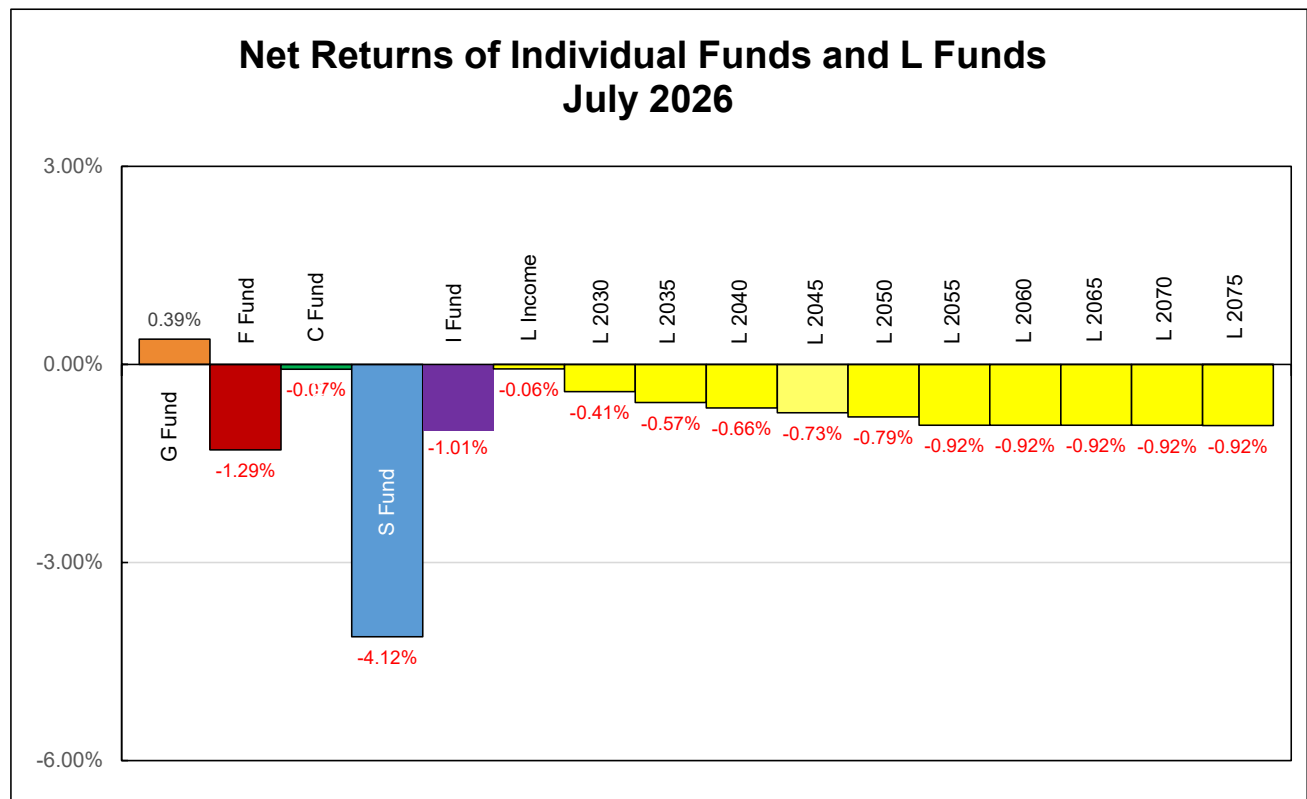
	Inception Date	1-Year	3-Year	5-Year	10-Year
L Income Fund	August 1, 2005	9.47%	8.22%	5.88%	5.38%
L 2030 Fund	August 1, 2005	15.15%	12.73%	8.22%	9.10%
L 2035 Fund	July 1, 2020	16.84%	13.72%	8.70%	N/A
L 2040 Fund	August 1, 2005	17.96%	14.52%	9.08%	10.26%
L 2045 Fund	July 1, 2020	18.93%	15.21%	9.38%	N/A
L 2050 Fund	January 31, 2011	19.92%	15.90%	9.71%	11.22%
L 2055 Fund	July 1, 2020	23.46%	18.33%	11.14%	N/A
L 2060 Fund	July 1, 2020	23.46%	18.32%	11.13%	N/A
L 2065 Fund	July 1, 2020	23.46%	18.32%	11.13%	N/A
L 2070 Fund	July 26, 2024	23.46%	N/A	N/A	N/A
L 2075 Fund	June 30, 2025	23.45%	N/A	N/A	N/A

Performance of TSP Funds

The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.

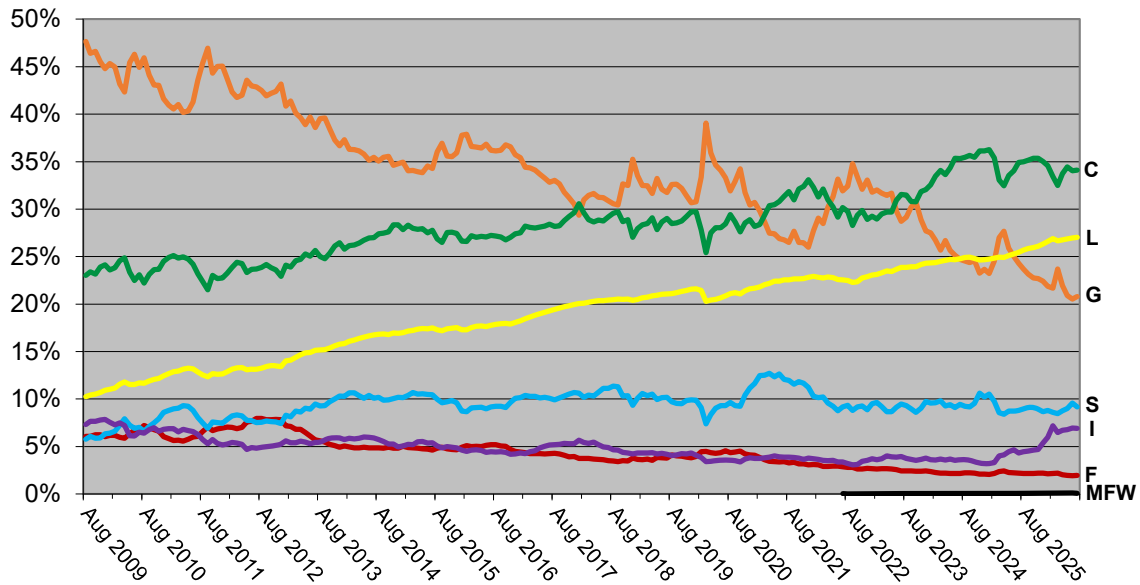


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.



Asset Allocation

Participant Asset Allocation History as of July 31, 2026

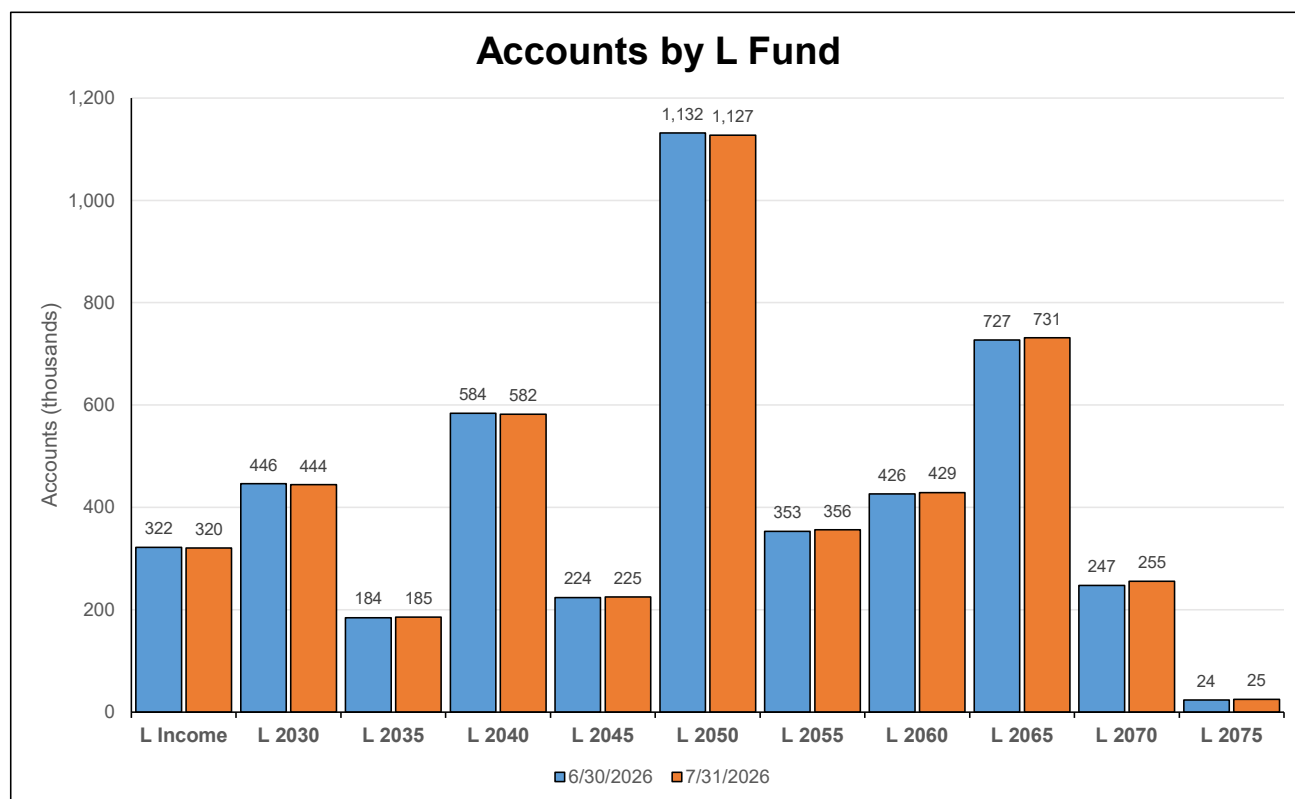
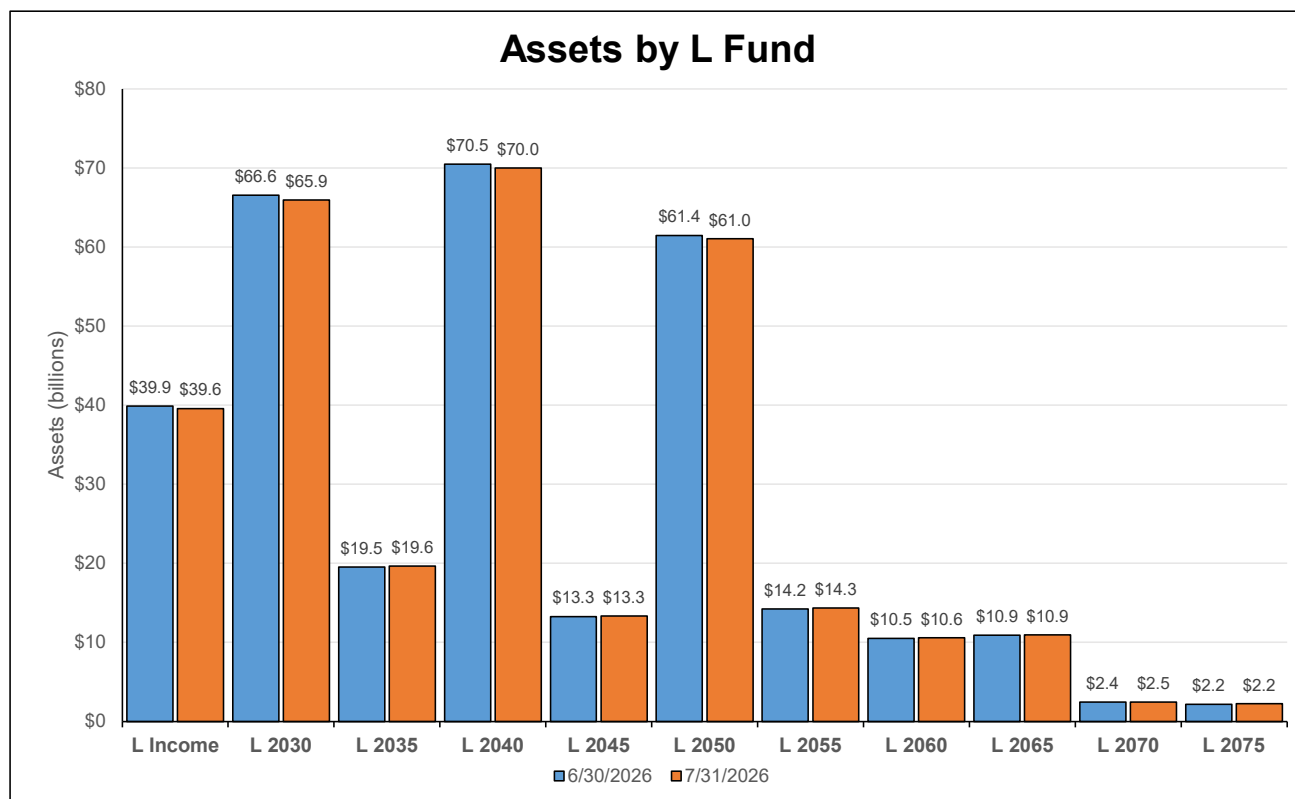


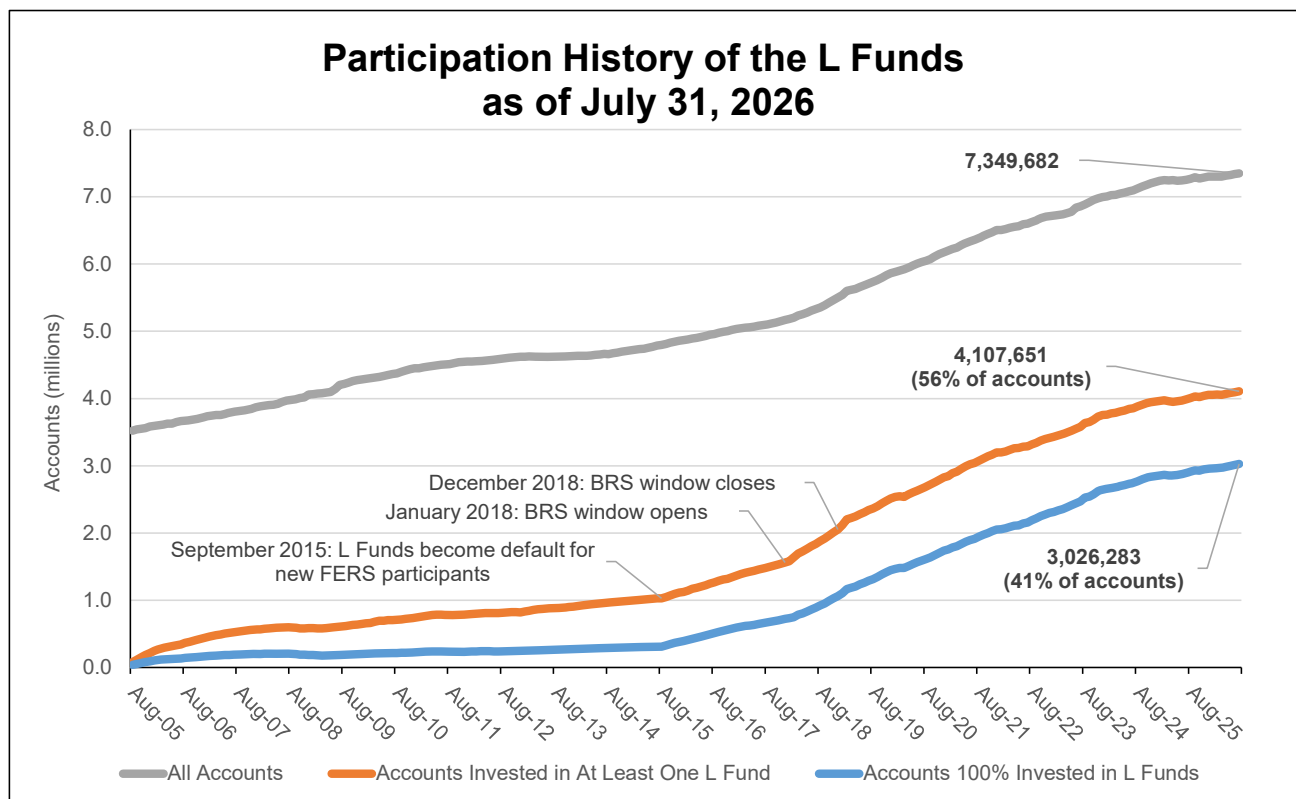
Asset Allocation as of July 31, 2026

	<u>Participant Allocation</u>		<u>Individual TSP Funds</u>	
	<u>Assets</u> (Billions)	<u>Share of</u> <u>Total</u>	<u>Assets</u> (Billions)	<u>Share of</u> <u>Total</u>
G Fund	\$238.8	20.8%	\$321.3	28.0%
F Fund	\$22.1	1.9%	\$39.1	3.4%
C Fund	\$391.2	34.1%	\$500.9	43.7%
S Fund	\$105.3	9.2%	\$132.4	11.5%
I Fund	\$79.1	6.9%	\$152.8	13.3%
L Funds	\$310.0	27.0%	n/a	n/a
<u>MFW</u>	<u>\$0.9</u>	<u>0.1%</u>	<u>\$0.9</u>	<u>0.1%</u>
Total	\$1,147.3	100.0%	\$1,147.3	100.0%

*Components may not sum to totals due to rounding.

Lifecycle (L) Funds





Interfund Transfer Activity

